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CHAPTER VI

ELEMENT OF TRADING

TYPES OF FOREX TRADERS

STYLE	SCALPING	INTRADAY	SWING	POSITION
Timeline	Very short (1 minute - 1 hour)	Short (In the same day)	Long (Daily/ Weekly)	Very Long (Monthly/ Yearly)
Timeframe	M1,M5,M15	M5, M15, M30 H1 & H4	M30, H1, M4, Daily, Weekly	Daily, Weekly & Monthly
Pros	• Very fast to get profit • Can be done repeatedly in 1 day • The risk of loss is small	• More relaxed than scalping • Suitable for part time traders • More pips versus scalping	• More relaxed than intraday • Suitable for part time traders • Can reach up to hundreds of pips	• Very relaxed • Very suitable for part time trader • Can reach up to thousands of pips
Cons	• A few pips • Need to always look at the chart • Stress • Loss can become large if too many positions and lot sizes are not controlled	• It is difficult to get a suitable entry position • Not too many pips compared to swing and position trading.	• Have to wait a long time to make a profit • Requires high margins • High risk of loss	• Have to wait a very long time to make a profit. • Requires higher margins. • Very high risk of loss.

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MONEY MANAGEMENT (MM)



Emotional care is also an important thing to do in Forex trading. Many things can happen at once and give us high mental stress.

Follow the guide:
- Do not enter an order if the trend is moving.
- Do not enter orders against the trend.
- Be aware and accurately check the analysis before entering order.
- Do not trade Forex if you have a lot of personal problems and when the mood is unstable.
- Put value on Stop Loss and Take Profit with risk reward the right one.

If you sell do not follow the guidelines given, you will only face huge losses.

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RISK MANAGEMENT

Drawdown

n Forex, a loss is often known as a Drawdown (DD) say you have a capital of $ 10,000 and have lost 5,000.

What percentage did you lose?

50%. That's called a Drawdown

Trade	Baki modal	2%	Trade	Baki modal	10%
1	$20,000	$400	1	$20,000	$2,000
2	$19,600	$392	2	$18,000	$1,800
3	$19,208	$384	3	$16,200	$1,620
4	$18,824	$376	4	$14,580	$1,458
5	$18,447	$369	5	$13,122	$1,312
6	$18,078	$362	6	$11,810	$1,181
7	$17,717	$354	7	$10,629	$1,063
8	$17,363	$347	8	$9,566	$957
9	$17,015	$340	9	$8,609	$861
10	$16,675	$333	10	$7,748	$775

HIGH RISK HIGH RETURN!

Risiko per trade 2% VS 10%

Look Above.

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